

REQUEST FOR PROPOSAL

REQUEST FOR PROPOSAL (RFP) FOR THE LEASING OF THE SIX (6) TANKS IN TRANSNET PIPELINE'S LADYSMITH DEPOT FOR PETROL AND DIESEL STORAGE



TRANSNET PIPELINES

ISSUE DATE: 05 OCTOBER 2026

**CLOSING DATE: 04 DECEMBER 2026 @17:00
(SAST)**

1. Background and Overview

Transnet Pipelines established in 1965, is an operating division of Transnet SOC Ltd, a South African state-owned company which plays a critical role in the energy industry in the South African economy. Transnet Pipelines core strategic mandate is to ensure petroleum security of supply for the inland market and gas security of supply for the KwaZulu Natal market using environmentally responsible methods while ensuring optimal efficiencies.

Ladysmith tanks were part of the Durban Johannesburg Pipeline (DJP) system. Subsequently the DJP was terminated from service on March 2018; TPL remained with six stranded accumulator tanks in Ladysmith depot which were previously used to accumulate petrol, diesel and intermixture. The tanks have not been maintained ever since they were taken out of service on March 2018, but TPL used to conduct out-of-service (O/S) inspections on each tank every ten (10) years.

The tanks are not linked to TPL's new multiproduct pipeline, which runs from Durban to the Jameson Park terminal, and there are no plans to connect them. Furthermore, there is no road or rail decanting system within the facility. The tanks do not have a fire system, pumps, or valves, and the details of what remains on site will be validated during the site briefing.

2. Request for Proposal (RFP)

Transnet Pipelines would like to invite parties interested to submit proposals to enter into a Lease Agreement for the six (6) tanks in Ladysmith for petrol and diesel storage.

Transnet Pipelines is open to a consortium or incorporated joint venture structure of a bidder, bidder entity or bidder group, provided there are clear links and explanations as to key issues relating to the partners/members experience in the upstream, midstream, or downstream liquid petroleum market, financial capability and which company or group of companies ultimately takes the lease.

Transnet Pipelines will award Lease of the six (6) tanks in Ladysmith based on the successful negotiation and finalization of the binding Lease Agreement with the relevant parties.

3. Description of Assets

The tanks include two (2) petrol accumulator tanks with 1 770 m³ working capacity each, two (2) diesel accumulator tanks with 2 500 m³ working capacity each and two intermixture tanks

with a working capacity of 84 m3 and 390 m3 respectively. The total working capacity of these six tanks is 9 014 m3, as shown in Table 1.

Table 1: Tankage Capacity

TRANSNET PIPELINES					
Tank	Year of Inst.	Service	Products	Volume – NTC (m ³)	Safe working capacity (m ³)
4	1965	Intermix	Intermix	90	84
5	1976	Intermix	Intermix	452	390
6	1976	Accumulation	ULP	2032	1770
7	1976	Accumulation	ULP	2032	1770
8	1976	Accumulation	Diesel	3608	2500
9	1976	Accumulation	Diesel	3608	2500
TOTAL				11 822	9 014

The site layout for the tanks is included below.

4. Scope of Requirements

Transnet intends to commercially lease these six (6) tanks in Ladysmith with a total working capacity of 9 014 m3 for at least ten years following an RFP procedure. Transnet Pipelines reserves the right, at its sole discretion, to amend the lease period after the RFP closing date.

The tanks are housed within a Transnet facility that is now being operated as a crude pump station. Because the tanks do not share common infrastructure, the crude operation will not interfere with their operations (piping, oily water system, bund walls).

Following the fact that the tanks are housed in the same facility as the crude pump station, your application should include a detailed operations planned methodology, the intended usage of the tanks, and the proposed lease period. The technique should detail how the potential lessee plans to bring and inject the prospective product into the tanks, as well as how you plan to decant the prospective product from the tanks. Respondent would have to implement site improvements to enable road and/rail receipt and dispatch of the petroleum products to and from the depot at their own costs to comply with all applicable legislative, regulatory, and industry requirements.

Given that the existing feederlines are linked to the previously supplied Lessee properties, you have the option of blanking out the link to these properties and redirecting them to fit your intended purpose.

Given that the tanks are located within TPL's crude pump station depot which is a National Key Point (NKP), TPL proposes that the prospective lessee physically isolate the tanks from the rest of the depot and provide their own primary access (gate) to the tanks facility that is separate from the one used by TPL. However, a backup gate to access the tank farm facility within the TPL Ladysmith depot should be made available for usage only when required or necessary.

The secondary gate will only be used upon official request to TPL and will not be used for day-to-day operations; see Annexure A for suggested fencing position and proposed gates. The Company Directors and all employees who will be accessing the TPL depot will need to be screened by State Security Agency (SSA). Thereafter, attend the Joint Planning Committee (JPC) meeting which they will be invited by TPL Ladysmith Depot Manager to present their operational duties and be inducted to commence with work. The prospective lessee will be responsible for the following tasks, however, the listed tasks are still open for negotiation between TPL and the prospective lessee:

- Use a fence to physically enclose the tank area facility and establish primary and secondary access gates (to be discussed further),
- Lease the isolated facility or tanks,
- Inspect & refurbish the tanks & bund area (slabs & walls),
- Operate the tanks,
- Refurbish tanks & bund area (slabs & walls),
- Maintain the infrastructure and the land within enclosed area (tanks, bund walls, separator, spill basin, floor slabs, grass cutting, lights, pumps, valves and piping),
- Provide own electricity,
- Provide own security for enclosed facility,
- Provide own pumps and valves,
- Install fire system, and
- Assume full responsibility for the enclosed facility's occupational safety and health administration (OSHA).

Following this RFP process, the above tasks will be further negotiated with the selected bidder. The potential lessee will bear the costs of creating this facility.

5. NERSA Requirements

Ladysmith Depot was licensed as an accumulation facility within Transnet Pipelines pipeline network operations license with National Energy Regulator of South Africa (NERSA). Accordingly, Ladysmith Depot requires to be licensed with NERSA as a storage facility before it can be operationalized by the appointed Lessee. The Lessee shall remain responsible for the accuracy and completeness of the information provided and for complying with any conditions imposed by NERSA.

It is the responsibility of the successful Bidder to familiarise themselves with the NERSA requirements for an application for a licence in terms of the Petroleum Pipelines Act, 2003 (No. 60 of 2003).

6. Proposal Criterion

A comprehensive business proposal document must be included in the RFP submission. The comprehensive proposal must include the commercial terms, evidence of experience in either the upstream, midstream, or downstream liquid petroleum market and evidence of financial capability to operate and maintain the six (6) tanks in Ladysmith Depot for petrol and diesel storage (credit facilities will not be accepted).

The below minimum acceptance criteria will be utilized for shortlisting Respondents who will be invited to enter into discussions for the Lease Agreement of the six (6) tanks in Ladysmith Depot for petrol and diesel storage. Proposals that do not meet the minimum criteria will not be considered.

Criteria	Minimum Acceptance Criteria
Provision of all mandatory documents	The Respondent is required to provide all the mandatory documents listed in Annexure A. Proposals from Bidders that fail to provide any of these documents will not be considered.
Lease Term	Greater than or equal to ten (10) years Payable Monthly
Proven experience in the liquid petroleum market	Experience in the upstream, midstream, or downstream liquid petroleum South African market and relevant licensing i.e., wholesale license, NERSA operating license, etc.
Financial capability to operate and maintain facility to Transnet Pipelines standards	Certified copies of last 3 years audited annual financial statements.

Transnet Pipelines reserves the right to disqualify respondents providing incomplete, inaccurate financial information.

7. Deposit and Pricing Schedule

The successful Lessee will be required to pay a refundable deposit prior to the commencement of the lease agreement. Bidders are required to complete and submit the pricing schedule as part of their submission, indicating their proposed rental rate per month.

8. Mandatory Site Briefing

Transnet Pipelines will hold a mandatory site briefing at Ladysmith Depot on 19 October 2026 at 11h00 am. Ladysmith Depot coordinates are -28.54275182, 29.78844513.

Flame-resistant personal protective equipment (PPE) is required. Proposals from parties that fail to attend the site briefing will not be considered.

9. Clarification Questions

Transnet Pipelines will accept written clarification requests from Respondents. All clarification questions must be submitted in writing to TPL.Commercial@transnet.net by no later than 14 November 2026 at 17:00 SAST.

10. General Respondent

This RFP does not and will not be deemed to constitute an agreement or an offer by Transnet Pipelines that is capable of acceptance and any response to, or signature of, this RFP shall not give rise to any obligations on the part of Transnet Pipelines.

Transnet Pipelines will not have any liability to any party arising in connection, whether directly or indirectly, with this RFP or any response received by an interested party.

Transnet Pipelines reserves the right to amend, modify or withdraw this RFP, or any part of it, or to terminate or amend the plans for the tanks, at any time, without prior notice and without liability to compensate or reimburse any person pursuant to such amendment, modification, withdrawal, or termination. A Respondent to this RFP warrants that the information provided is true, accurate and complete.

11. Confidentiality

The proposals and appendices/annexures submitted by the Respondent to this RFP will be treated by Transnet Pipelines as confidential and Transnet Pipelines will not, without the Respondents written consent directly or indirectly communicate or disclose (whether in writing or orally or in any other manner) the proposal to any other person.

Transnet Pipelines will only use the proposal for the sole purpose of this RFP. Notwithstanding the aforementioned, Transnet Pipelines may disclose the proposal to Transnet's agents who strictly need access to the proposal for the sole purpose of this RFP and Transnet may disclose the proposal to the extent required by law or rules of any applicable regulatory authority. The proposal shall remain the property of the Respondent, and its disclosure shall not confer on Transnet any rights, including intellectual property rights over the proposal whatsoever.

Any information or data which is already known to Transnet Pipelines as of the date of submission of the proposal, information or data acquired by Transnet Pipelines independently from a third party, or information or data that is or becomes known in the public domain, shall be excluded from the operation of this confidentiality clause.

12. Annexure A: Mandatory Documentation

The Respondent (s) shall provide all of the below listed documentation with their proposal. Failure to provide all the below documentation will result in the bidder not being considered:

1. Detailed business proposal which must include:
 - 1.1. Market demand volumes and annual throughput volume;
 - 1.2. Details of the target customer base;
 - 1.3. The nature of the proposed business initiative and necessary developments;
 - 1.4. The value adding of the business proposal to Transnet;
 - 1.5. New supplier development contribution and job creation opportunities to the region.
 - 1.6. Detailed description of how the product will be delivered into the tanks and a description of how the product will be distributed out of the tanks. Detailed description of the products to be stored in each tank.
 - 1.7. Proof of project funding and detailed schedules for the work required for the improvements of the depot to enable receipt and dispatch of the product from the tanks;
 - 1.8. Finance model (forecast model);
 - 1.9. Detailed approach outlining associated risks and mitigation actions;
 - 1.10. Technical abilities of the Bidder to maintain and operate a fuel depot;
2. Pricing schedule indicating the proposed rental rate per month in the following format:

Activity	Rate (R/month) excl. VAT
Rent	

3. The relevant trading license i.e Wholesale License, NERSA operating license, etc
4. Certified copies of last 3 years audited annual financial statements;
5. Company profile;
6. Company Structure;
7. Proof of Registered Business Address (e.g., municipal bill);
8. Company Registration Documents (e.g., CIPC Certificate of Incorporation, CoR14.3; CoR15.1A) and Certified Copies of Directors' Identification Documents;
9. Consent Letter for Transnet Pipelines to conduct credit assessment of the Respondent in company letter head;
10. Valid Broad-Based Black Economic Empowerment (B-BBEE) certificate or a sworn affidavit which reflects the company's Black ownership percentage;
11. SARS Tax Clearance Certificate;
12. Confirmation of bank details from bank (with bank stamp);
13. Shareholders Agreement;
14. Shareholder Certificates (if applicable);

13. Closing date for submissions

The response as per above must be submitted by email to TPL.Commercial@transnet.net by no later than 04 December 2026 at 17:00 SAST.

Any response submitted after the deadline will not be considered.

EVALUATION CRITERIA

Bid Responses submitted in respect of this RFP will first be assessed based on compliance with the Functionality Criteria, and only if a Bid Response complies with the Stage 1 of the evaluation criteria (Functionality Criteria) will it be evaluated in Stage 2 (Price and Preference).

STAGE 1 OF THE EVALUATION CRITERIA: FUNCTIONALITY CRITERIA

Note: Only Tenderers with a total functionality score of **60%** will be considered.

Evaluation Criteria	Description	Weighting (%)	Scoring Guideline
Business Proposal	The business proposal will be assessed on how thoroughly it outlines procedures for each stage of product movement, including receipt, storage, handling, and dispatch, with particular emphasis on safety, accuracy, and efficiency. Bidders must clearly describe processes, workflows, and controls that ensure product integrity, prevent losses, and minimize risks associated with hazardous materials. The level of detail and practicality of the proposed operational procedures will also form an important part of the evaluation. Bidders are expected to provide step-by-step descriptions supported by diagrams, process flows, or standard operating procedures where applicable.	30	Refer to T1.1
Previous Experience	Demonstrate experience in the upstream, midstream or downstream liquid petroleum South African market. Provide the relevant licensing i.e, Wholesale License, NERSA operating license, etc.	40	Refer to T1.2

Financial Standing	Applicants, or each member of the Joint Venture (JV), should submit their annual audited financial statements for the last three (3) financial years for existing Company. Financial statements must be signed off by a registered auditor/tax practitioner. (Note: Credit Facilities are not acceptable for the purposes of financial analysis and scoring of proposals).	30	Refer to T1.3
Total		100	
Minimum qualifying score required		60	

T1.1 The Proposal

The Proposal will be scored as follows:

The following information is required as a minimum on the Proposal submitted for evaluation:

1. Market demand volumes and annual throughput volume;
2. Details of the target customer base;
3. The nature of the proposed business initiative and necessary developments;
4. The value adding of the business proposal to Transnet;
5. New supplier development contribution and job creation opportunities to the region;
6. Detailed description of how the product will be delivered into the tanks, a description of how the product will be distributed out of the tanks and detailed description of the products to be stored in each tank;
7. Proof of project funding and detailed schedules for the work required for the improvements of the depot to enable receipt and dispatch of the product from the tanks;
8. Finance model (forecast model) demonstrating viability of the proposal;
9. Detailed approach outlining associated risks and mitigation actions;
10. Technical abilities of the Bidder to maintain and operate a fuel depot.

Score	Description
0	The Proposal meets less than 4 of the minimum requirements listed above.
40	The Proposal meets 4 of the minimum requirements listed above.
50	The Proposal meets 5 of the minimum requirements listed above or more than 5 but not including item 6.
60	The Proposal meets 6 of the minimum requirements listed above including item 6.
70	The Proposal meets 7 of the minimum requirements listed above including item 6.
80	The Proposal meets 8 or 9 of the minimum requirements listed above including item 6.
100	The Proposal meets all of the minimum requirements listed above.

T1.2 Previous Experience

Bidders are required to provide projects/businesses to substantiate experience in the upstream, midstream or downstream liquid petroleum South African market. They shall supply a sufficiently detailed list of projects, indicating the following:

- a) Project Description;
- b) Name of client;
- c) Start date;
- d) Completion date (or ongoing status);
- e) Cost of project;
- f) Name, email and contact number of client representative.

Previous Experience will be scored as follows:

Score	Description
0	The Tenderer has 0 - $\leq$ 1 years of relevant experience in upstream, midstream or downstream liquid petroleum South African market.
40	The Tenderer has >1 and <2 years of relevant experience in the upstream, midstream, or downstream liquid petroleum sector within the South African market.
60	The Tenderer has ≥ 2 and <3 years of relevant experience in the upstream, midstream, or downstream liquid petroleum sector within the South African market.
80	The Tenderer has ≥ 3 and <5 years of relevant experience in upstream, midstream or downstream liquid petroleum South African market.
100	The Tenderer has ≥ 5 years of relevant experience in upstream, midstream or downstream liquid petroleum South African market.

Bidders are required to submit the relevant license i.e, Wholesale License, NERSA operating license, ITAC permit etc. Where no license is submitted then no score will be given.

T1.3 Financial Standing

Current Ratio will be scored as follows:

Score	Description
0	The current ratio is <1
40	The current ratio is ≥ 1 and <1.25
60	The current ratio is ≥ 1.25 and <1.5
80	The current ratio is ≥ 1.5 and <2
100	The current ratio is ≥ 2

Net tangible assets will be scored as follows:

Score	Description
0	The company's Net tangible assets are negative
100	The company's Net tangible assets are positive

Note: Net tangible assets are defined as Total assets – Intangible assets – Total Liabilities

Debt to Equity Ratio will be scored as follows:

Score	Description
0	The debt to equity is ≥ 1
40	The debt to equity is ≥ 0.75 and <1
60	The debt to equity is ≥ 0.5 and <0.75
80	The debt to equity is ≥ 0.25 and <0.5
100	The debt to equity ratio is <0.25

STAGE 2 OF THE EVALUATION CRITERIA: PRICE AND PREFERENCE

Evaluation Criteria	Description	Weighting (%)	Scoring Guideline
BBBEE	Valid Broad-Based Black Economic Empowerment (B-BBEE) certificate or a sworn affidavit which reflects the company's Black ownership percentage.	10	Refer to T1.4
Price	The Bidder must submit an acceptable monthly rental rate	90	Refer to T1.5
Total		100	

T1.4 BBBEE contribution will be scored as follows:

Score	Description
0	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 7 or 8, or non-compliant status.
40	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 5 or 6.
60	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 3 or 4.
80	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 2.
100	Bidder submitted a valid BBBEE certificate or sworn affidavit reflecting a BBBEE status level 1.

T1.5 Price

The Bidder making the highest rental rate per month will be awarded maximum points while the other Bidders with a lower rental rate per month will proportionately obtain lower points based on the following formula:

$$Ps = 90 (1 + (Pt - Pmax) / Pmax)$$

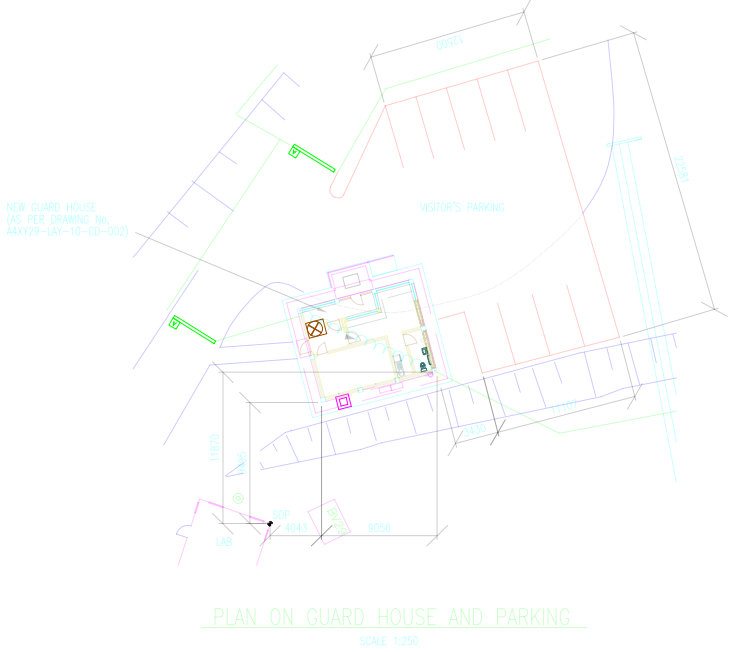
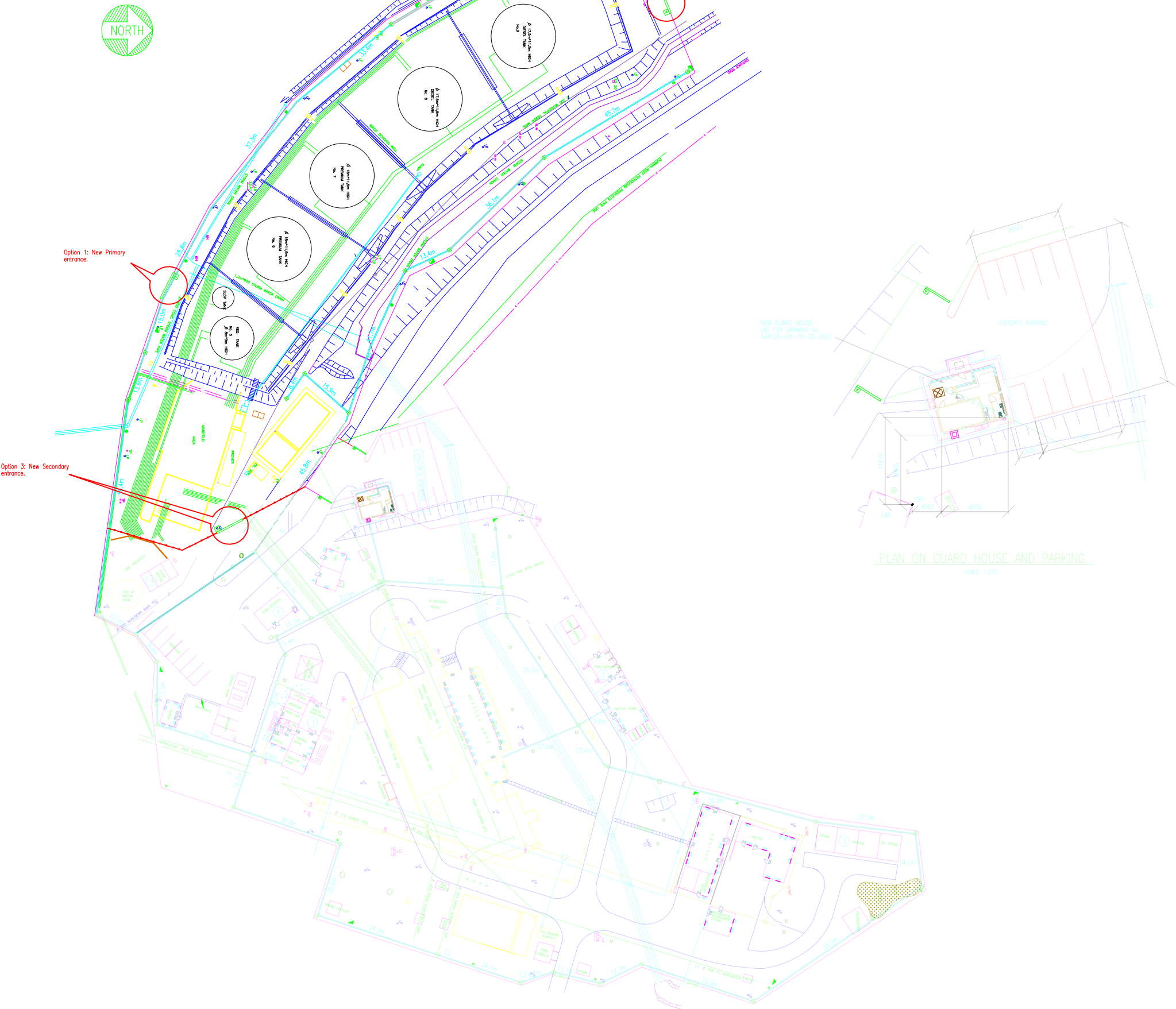
Where:

Ps = points scored for the offer under consideration

Pt = rental rate per month under consideration

Pmax = highest acceptable rental rate per month received

ANNEXURE A



KEY

	NEW PERIMETER FENCE
	NEW SECONDARY FENCE
	EXISTING FENCE LINE
	NEW MANUAL GATE
	NEW AUTOMATED GATE
	EMERGENCY EXIT GATE
	CABLE TRENCH
	FUTURE CAMERA MAST FOUNDATION
	FUTURE JUNCTION BOX FOUNDATION
	CABLE DRAW BOX
	NEW RING-FENCE

REFERENCE DRAWINGS

AXY08-LAY-210E-006	WINDOW SCHEDULE
AXY-000-10-CD-014	TYPICAL TRENCHING DETAILS
AXY-000-10-CD-013	ROAD LAYERWORKS & KERB DETAILS
AXY-000-10-CD-011	TYPICAL DRAW BOX CONC LAYOUT & DETAILS
AXY29-LAY-10-CD-002	SECURITY GUARD HOUSE DETAILS-PLANS
AXY29-LAY-10-CD-003	SECURITY GUARD HOUSE DETAILS - SECT.
AXY-000-15-SN-002	FALISADE FENCE STANDARD DETAILS
AXY-000-15-SN-003	STEEL PALISADE HINGED GATES STANDARD DETAILS
AXY-000-15-SN-004	STEEL PALISADE SLIDING GATES STANDARD DETAILS
AXY-000-15-SN-006	HIGH SECURITY STEEL MESH FENCE STANDARD DETAILS
AXY-000-15-SN-007	EMERGENCY EXIT GATES STANDARD DETAILS

REVISIONS



LAY Tank Farm Fencing

PROJECT NAME
Ring-Fence for LAY Tanks

DRAWN	S.C	REF.	
TRACED	CAD	DATE	20-07-2022
CHECKED	K.N	APPROVED	ZM

SCALE
N.T.S.

DRAWING No.		REV	
PL : 122543			